

Fearnleys Tanker Market Wrap-up June 2024

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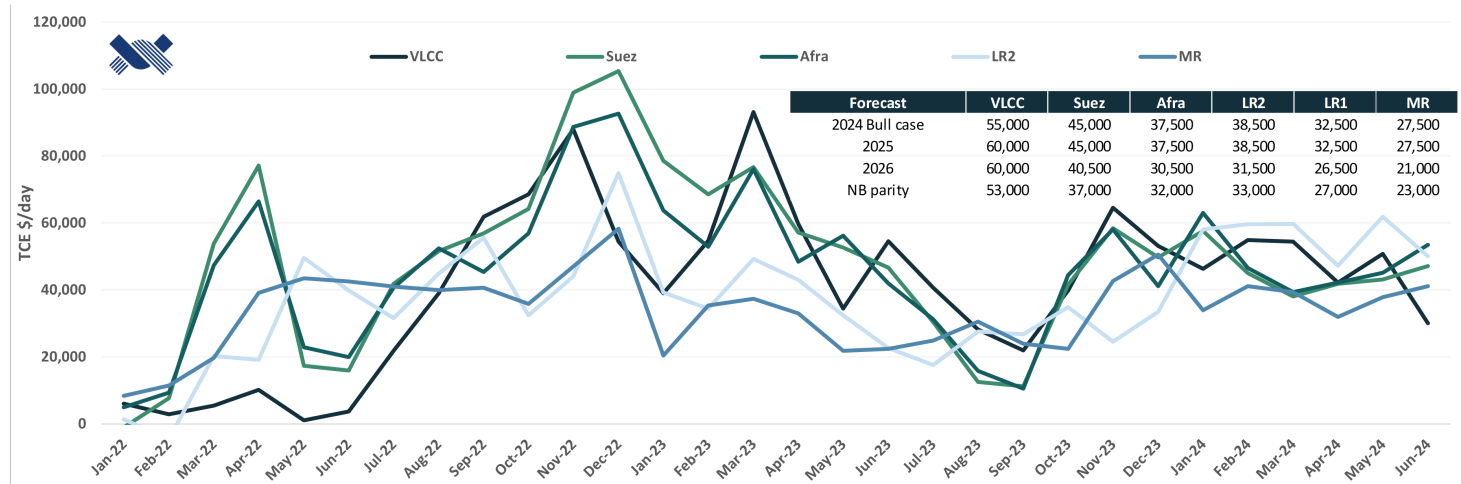
Summary and recent tanker market development

Rates YTD have been less volatile than the last two years, but have rather hovered around strong levels. The highest YTD rate average is seen for LR2s, with TC1 TCE of around \$56k/d. VLCC, Suezmax and Aframax earnings have been around \$46-47k/d whilst MRs have seen continued relative strength at \$37k/d.

Seasonality has already kicked in for the biggest vessels, and we expect some contagion also to the smaller vessel sizes in the near term. A few months down the line, however, there is a set-up to support a very strong end to the year with expected volume increases on top of continued trade diversion among a geopolitical scene that does not appear to change anytime soon.

We still believe that rates will realign to something closer to the norm across the segments over the next two years, with fleet growth picking up for the segments which have enjoyed the relatively strongest earnings, and oil demand/supply fundamentals also likely leading to bigger demand gains for the larger vessels. There is upside risk to our forecasts going forward the longer geopolitical upheaval persists, but we also note macroeconomic risks to the downside..

Spot rates, TCE \$/day

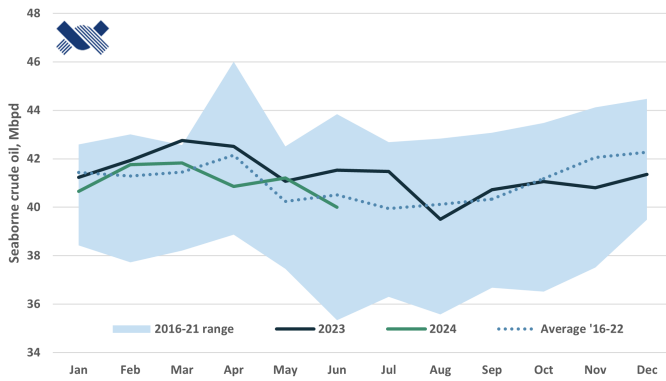


Source: Fearnleys, Baltic Exchange

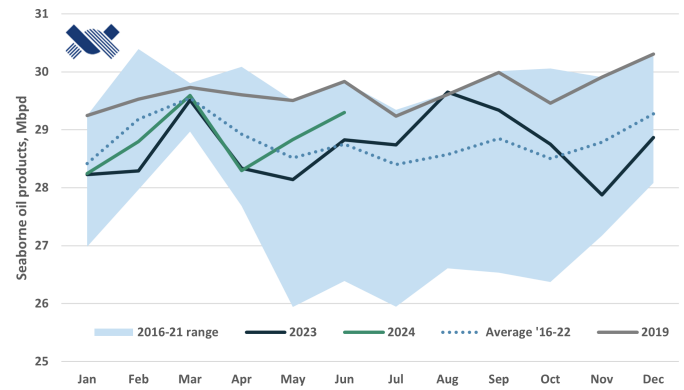
Overall tanker volumes YTD have declined marginally vs. the same period last year, with crude oil slightly lower and products slightly higher. The recent decline in crude oil volumes is nothing out of the ordinary and some more downside can be expected near-term due to continued OPEC+ cuts and seasonal demand in exporting areas. Similarly, we could see slight downside also for products in the coming few months.

We expect a sharper recovery especially for crude volumes from September onwards due to easing seasonal demand and increasing production in key areas. The IEA expects that non-OPEC+ production may rise by more than 1 mbpd by year-end, a large portion of which may need to find a home in the East - if not stored in the West.. There are, however, some indications that OPEC+ production may not rise as much as energy agencies predict - especially in the U.S., which means the OPEC+ may be able to unwind some cuts like recently outlined.

Seaborne crude oil volumes



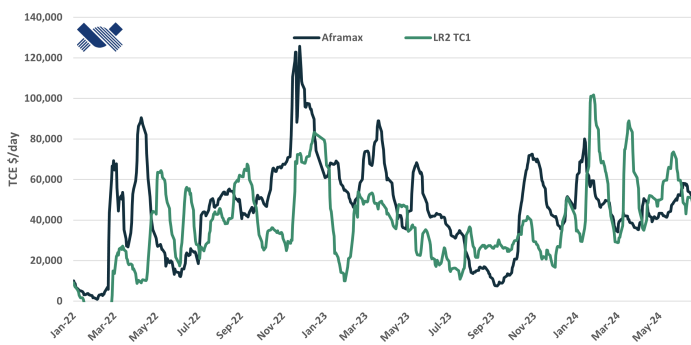
Seaborne oil product volumes



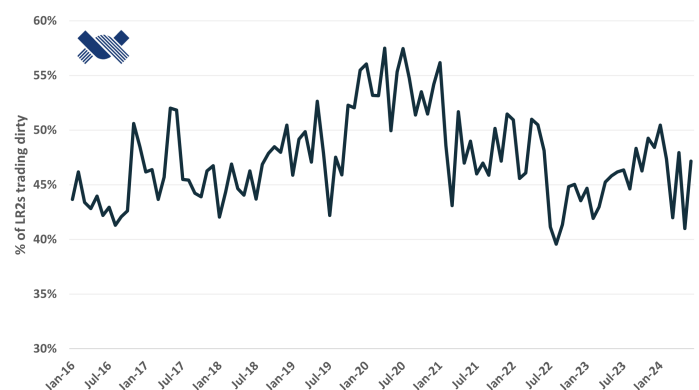
Source: Fearnleys, Vortexa

LR rates have softened recently, after a few brief but significant spikes in recent months. Our tracking suggests that the switching of LR2s from the dirty back into the clean trade has stopped, as rate premiums have now eased. However, a number of VLCCs and Suezmaxes have cleaned up to take CPP cargoes from the Middle East and India to the West - making up as much as a 2-3% product tanker fleet growth equivalent in dwt terms, albeit short-term.

Aframax vs. LR2 rates



% of LR2s trading dirty

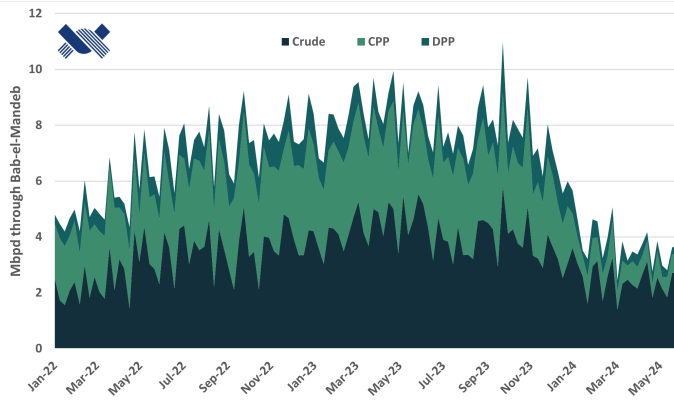


Source: Fearnleys, Vortexa

The Red Sea situation has not changed much recently, despite renewed headlines at times suggesting progress in ceasefire talks. If anything, the Houthis' attacks appear to have become more accurate, posing a greater threat to those still opting to transit. Therefore, there has not been a substantial change in transit volumes and COGH diversion, other than the cleaning up of larger vessels for improved economies of scale.

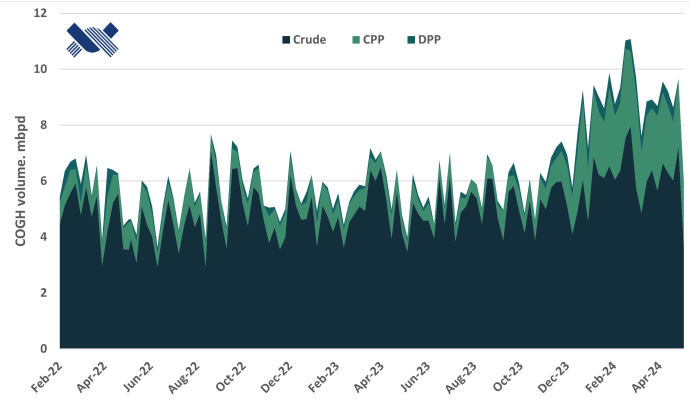
Through May, crude oil volumes transiting the Bab-el-Mandeb strait were 1.6 mbpd lower than the 2023 average, and products 2.6 mbpd lower (-61% and -68%). Meanwhile, crude oil going around the COGH increased by 1 mbpd and products by 2 mbpd (+19% and +246%). Preliminary numbers suggest this has led to an overall 3% increase in tanker tonne-miles, heavily skewed toward product tankers.

Bab-el-Mandeb transits



Source: Fearnleys, Vortexa

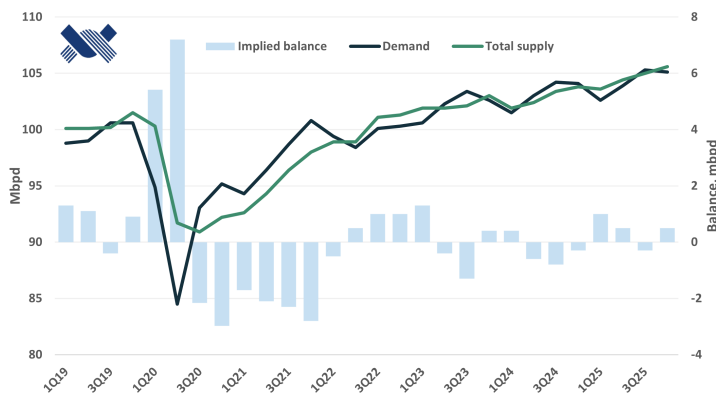
COGH volumes



Oil market

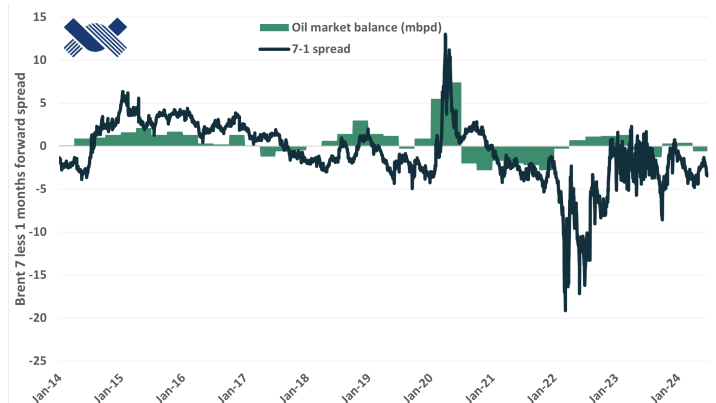
The oil market this year looks fairly balanced - according to the IEA it will on average be 0.3 mbpd undersupplied with draws tilted toward the second and third quarters. This is fairly in line with the Brent forward curve backwardation which has steepened again recently. Going into the first half of next year, however, the IEA's balances imply oversupply of 0.75 mbpd, without any OPEC+ cut reversal. That means little room for the group to actually unwind cuts, although we suspect the IEA's balances include a bit too pessimistic demand forecasts and a bit too optimistic non-OPEC+ production expectations.

Oil supply and demand, implied balance



Source: IEA, Bloomberg

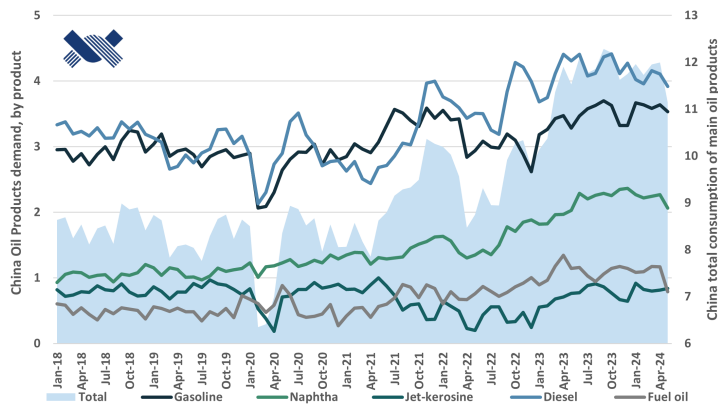
Brent 7-1 months forward price spread



Chinese apparent oil demand declined in May vs. previous months and the same month last year. Still, YTD it remains up 6.4% vs. the same period last year (down from a growth rate of 8.8% until April). Refinery runs were also slightly lower, and the YTD average is now down -0.9% y/y over last year. Crude oil imports, meanwhile, grew slightly over preceding months, although were also lower than the same month last year. All told, this points to a weaker picture for oil demand in China – which begs the question whether this is a temporary setback or a levelling out from the strong growth seen over the last year and a half. Refinery margins did spike briefly going into June, but have since receded...

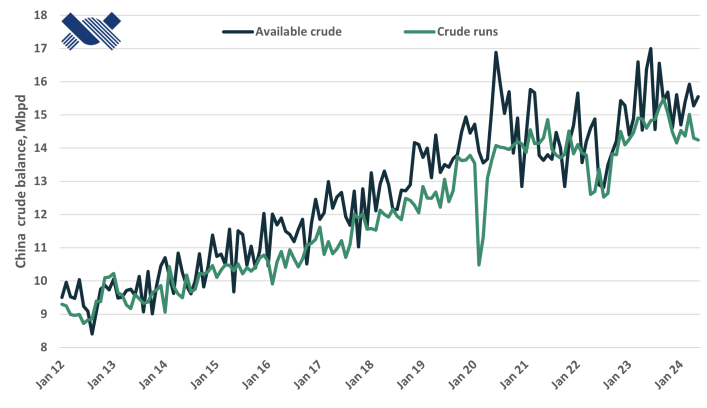
Some of this decline is seasonal, especially for refinery runs, and a demand recovery may be expected going forward. The IEA expects some 300 kbpd of demand growth from China until year-end, which should support continued strong crude oil import demand.

China apparent main oil products demand



Source: Argus

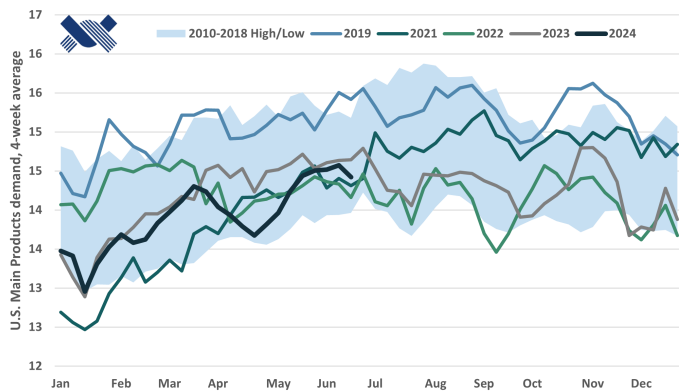
China available crude oil vs. refinery runs



While there is also contradictory travel activity data, the EIA's weekly implied main products demand estimates show an underwhelming start to the driving season. Should this apparent weakness persist, there is greater potential for a (even bigger) crude oil export push going forward. This is not a base case, but something to ponder going into the second half of the year.

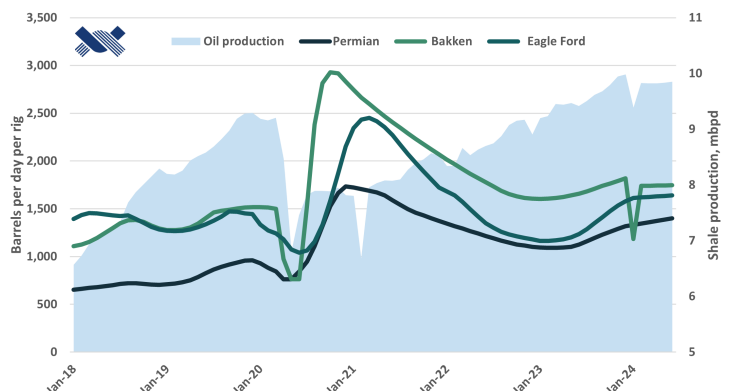
The U.S. oil rig count has been steadily dropping for some time, but has been offset by continued productivity gains in key basins so that production has tracked sideways in recent months. Expectations are that these productivity gains will continue, with the EIA forecasting about 400 kbpd higher production by year-end, about 100 kbpd lower than the IEA's forecast. However, there are also less optimistic voices, suggesting production has already topped out for now and may remain flattish for some time to come...

Implied U.S. main products demand



Source: EIA

U.S. shale oil production

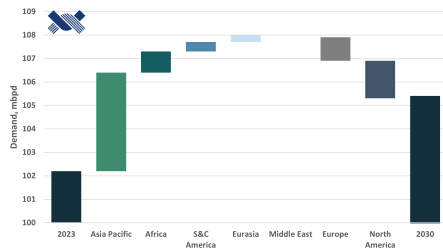


In its recent Oil 2024 report the IEA outlined oil market expectations until 2030, predicting peak oil demand in 2029. The report has received widespread pushback on its too optimistic assumptions about alternative energy sources and electrification, among other things. Even with that, the agency predicts 3.4 mbd oil demand growth between 2023 and 2029, with strong growth in Asia and Africa partly offset by declining demand in North America and Europe.

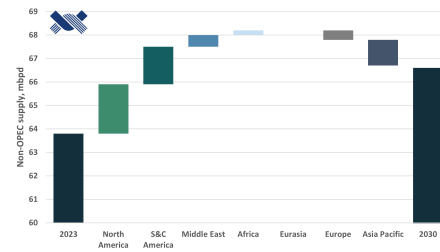
The IEA also predicts strong supply gains from Non-OPEC (2.9 mbd), processing gains (0.1 mbd), Biofuels (0.6 mbd) NGLs (1.1 mbd) over the 2023-30 period. This may also prove optimistic, especially given the implied growing oversupply this leaves for the oil market over the period. Still, it does imply continued strong potential for West-East crude oil trade to come and therefore solid tonne-mile demand growth especially for the biggest vessels.



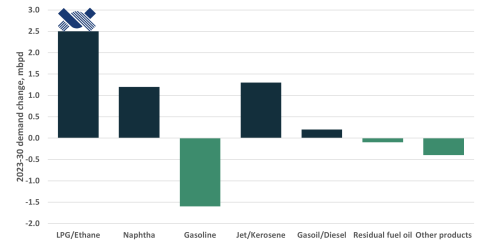
2023-30 oil demand growth by region



2023-30 oil supply growth by region



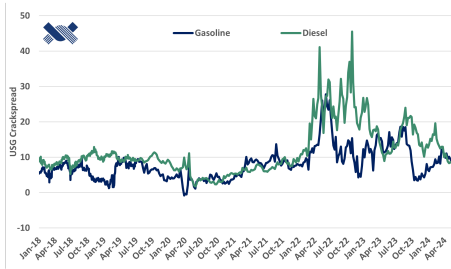
2023-30 oil demand growth by product



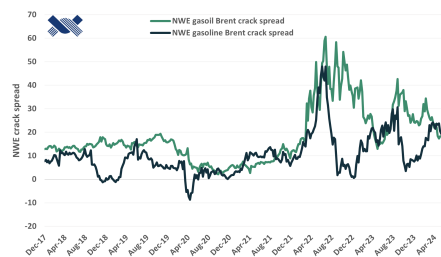
Source: IEA

Refinery margins have overall weakened again recently, and are now relatively in line with historical averages. Some of this may be due to higher refinery runs after maintenance, but at the same time demand should be rising in tandem. Thus, margins have not displayed the same signs of strength as the crude oil price curves. There has at times this year been suggestions that we may see run cuts or reduced ramp-up, and therefore there is some risk to the downside for product tanker volumes vs. earlier estimates. For now, however, most recent energy agency refinery run estimates have remained unchanged.

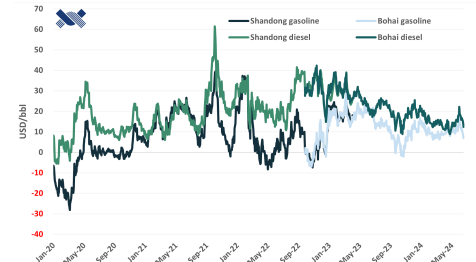
U.S. crack spreads



Northwest Europe crack spreads



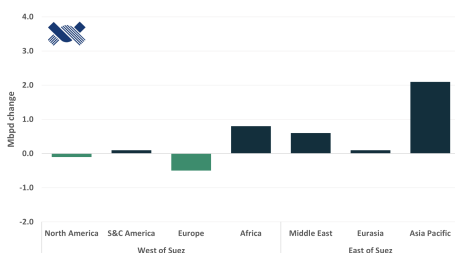
China crack spreads



Source: EIA, Bloomberg, Argus

According to the IEA's estimates, the refinery capacity vs. demand changes over the next few years may reverse some of the East-West trade growth trend from recent years, which has been a driver of product tanker demand. Volumes will increase according to these estimates, which is the more important part of the tonne-mile equation, but there may not be a big distance driver as more intra-regional trade may be a result.

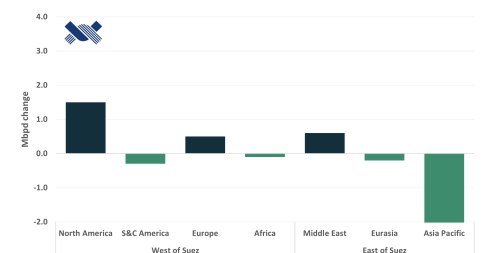
Refinery capacity change 2023-30



Oil demand change 2023-30



Capacity less demand change 2023-30



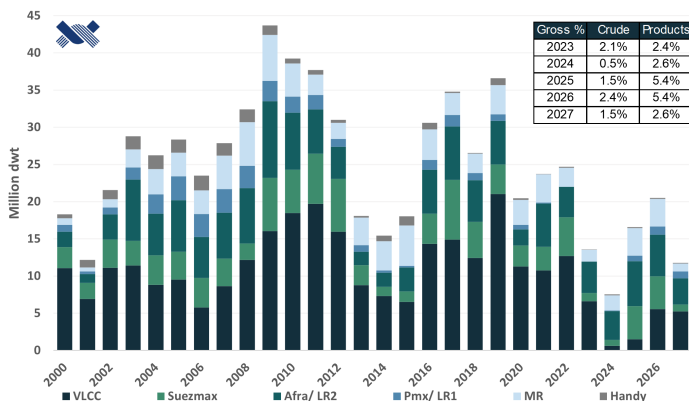
Source: IEA

Fleet development

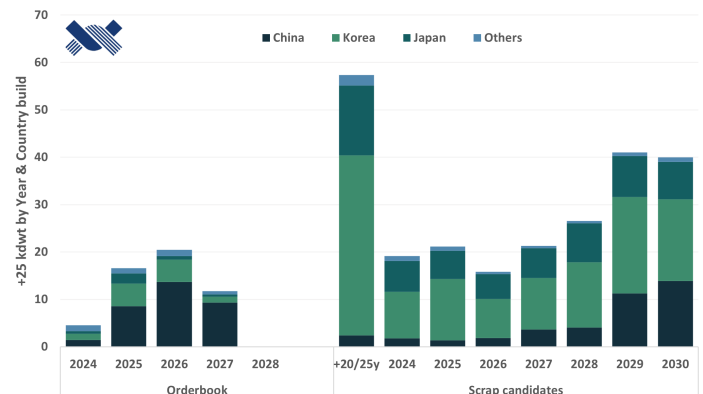
YTD tanker deliveries have been few and far between. Only 3m dwt has been delivered, and although the delivery pace will pick up from here it will still be marginal with 4.5m dwt scheduled before year-end. That makes up to a total gross fleet growth for the year of 1.2% - hardly a lot, and although next year's growth picks up, 2.7% gross will not be a lot either. Still, for the segments which have fared the best the last couple of years fleet growth is set to pick up more, which may even the battlefield somewhat.

Whilst crude tanker fleet growth looks set to remain very low, products pick up in coming years toward something closer to historical averages. Recently too, there has been some rebalancing between the segments, with the Suezmaxes and VLCCs cleaning up to lift CPP cargoes proving the fluidity of the tanker fleet and that it is all inter-connected.

Tanker deliveries and orderbook



Tanker orderbook vs. phase-out potential

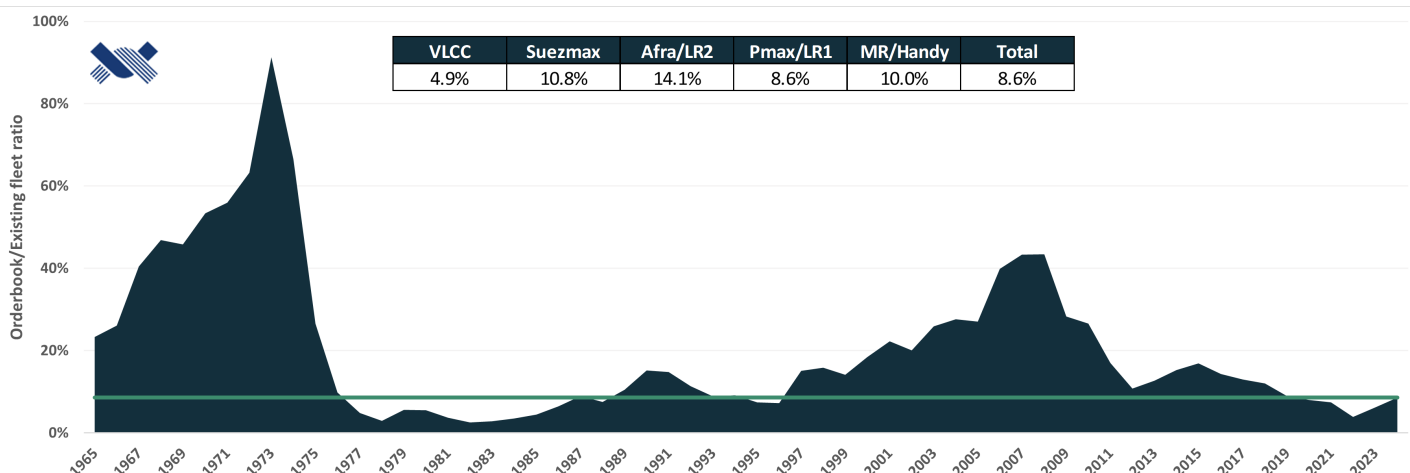


Source: Fearnleys

The orderbook to fleet ratio has grown to 8.6%. There are more orders which have been reported or rumoured but not yet materialized, which will likely push the overall orderbook to fleet toward 10%. Still, that is low in a historical context and insufficient to enable fleet renewal as will eventually be needed.

That is not to say that we expect any meaningful scrapping in the relatively near term due to strong earnings and outlook, but eventually time will take its toll on the oldest part of the fleet, mostly in the form of lower utilisation.

Orderbook vs. fleet

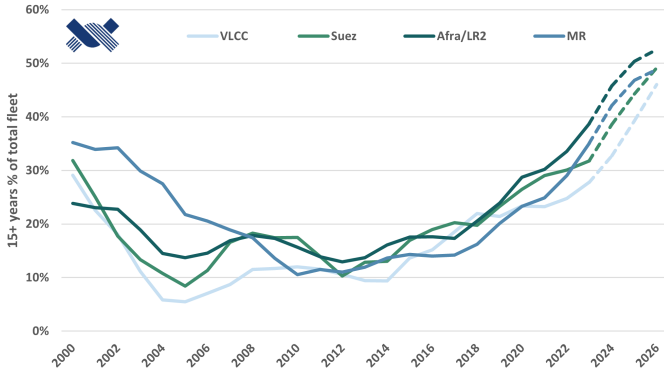


Source: Fearnleys

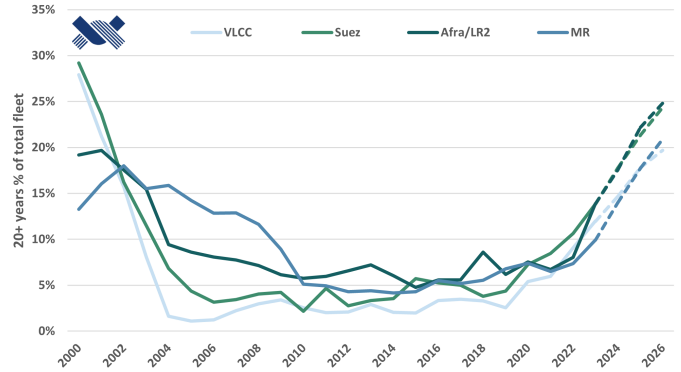
In just two years, around 20-25% of the different fleets will be 20+ years old, and much more difficult to trade. Even if we do not see a pick-up in scrapping we expect that lower utilisation for this ageing part of the fleet will offset much of

the overall deliveries the next few years. This means there is little effective fleet growth to accommodate for demand growth - which there likely will be. Hence, we believe that more ordering will be needed, especially for the segments in which orderbooks are still low.

Share of fleet at age 15+ years



Share of fleet at age 20+ years

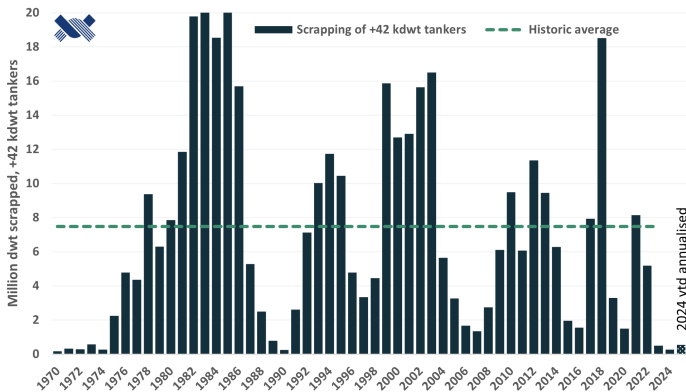


Source: Fearnleys

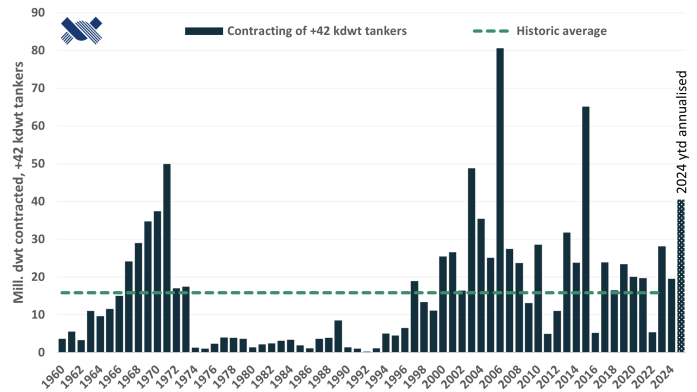
Owners look to have taken the latter point to heart, with 19.5m dwt ordered so far this year which is on an annualised pace to reach more than 40m dwt for the full year - well above last year's 28m dwt.

If, however, 18+ years old vessels continue to see about 30% lower utilisation than normal for younger vessels, demand grows in line with the historical trend, and there is NO scrapping, closer to 35m dwt needs to be ordered and delivered each year going forward to balance the tanker market.

Historical scrapping



Historical ordering



Source: Fearnleys



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